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KCB Kenya
Q3 Earnings Note

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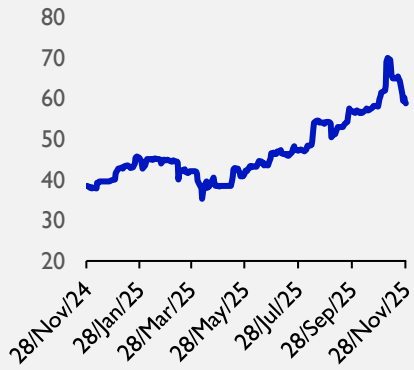
KCB Group Q3'25 Earnings Note

28th November 2025

Ticker Information	
NSE Code:	KCB
Issued Shares (Bn):	3.21
52-week high:	KES 72.50
52-week low:	KES 15.0

Recommendation	Current Price	Target Price
BUY	**KES 58.75**	**KES 72.87**

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(4.5%)	8.3%	35.5%	52.6%

Source: NSE, AIB-AXYS Research

Summary

- **KCB posted a 3.4% y/y growth in Profit After Tax for the first nine months of FY'25, coming in at KES 47.32 Bn from KES 45.76 Bn in a similar period last year**. This performance was primarily driven by a 12.4% y/y growth in net interest income to KES 104.34 Bn. Growth in net interest income came from softening interest expenses, which declined 17.6% y/y to KES 45.32 Bn. During the period under review, interest on deposits eased 10.3% y/y to KES 36.54 Bn, on the back of a dovish stance in the monetary environment which favored cheaper compensation on customer deposits, as well as a slight decline in deposits. Gross non-performing loans were on the rise, climbing to KES 222.07 Bn

Key Highlights

- **Earnings Mix:** Interest income was relatively muted, remaining flat at KES 150.65 Bn; the low-interest rate environment suppressed income from loans and advances despite an 8.2% y/y growth in the loan book. Interest from government securities grew 4.6% y/y to KES 39.61 Bn, coinciding with the Group increasing its holding in government securities. Interest expense softened thanks to an easing monetary policy, which saw interest on loans and advances drop 10.3% y/y to KES 36.54 Bn, offsetting muted interest income and resulting in a 12.4% y/y increase in net interest income to KES 104.33 Bn. Non-funded income remained under pressure, slowing 10.1% y/y to KES 45.09 Bn; revenues in this segment were dragged down by FX trading income, which declined significantly by 40.1% y/y to KES 8.24 Bn largely due to lower volumes and shrinking margins. On a positive note, fees and commissions on loans rose 5.5% y/y to KES 9.54 Bn, while other income grew 17.9% y/y to KES 6.22 Bn. In the review period, the contribution to net earnings by subsidiaries declined 12.0%, linked to hyperinflation in South Sudan and Burundi as well as the sale of NBK.
- **Asset Quality:** The stock of Non-Performing Loans surged to KES 222.06 Bn. At the same time, the lender improved its provisioning by 5.1% y/y to KES 115.57 Bn while taking note of the rise in NPLs. With increased loan disbursement, the NPL ratio improved. The Kenya subsidiary contributed 21.2% of the NPLs. Real estate, manufacturing and trade remained the most challenged sectors, contributing a significant portion of the NPL stock. Management is employing various strategies to unwind NPL levels including recoveries, rehabilitation and write-offs.

Balance Sheet Dynamics

Total assets expanded marginally to KES 2.04 Tn. Net loans grew 8.2% y/y to KES 411.88 Bn, supported by increased disbursement in priority segments in Kenya, Uganda, Tanzania and Rwanda subsidiaries. A 14.1% y/y growth in government securities to KES 411.88 Bn drove expansion in total assets, as the lender parked liquidity in government securities amid heightened NPLs, signaling a cautious stance coupled with low credit uptake in the country, although private sector credit uptake is gradually picking up. On the other hand, total liabilities declined 0.5% y/y to KES 1.73 Tn, attributable to a 0.8% y/y decrease in customer deposits to KES 1.53 Tn. The decline in liabilities can be traced to strategic rebalancing of G2G market share and the completed divestiture from NBK. Notably, excluding the sale of NBK, the loan book and deposits grew 14.0%. In the review period, deposits from retail clients accounted for 47.0% of total deposits compared to 53.0% from corporate. Additionally, 64.0% of total deposits are denominated in local currency.

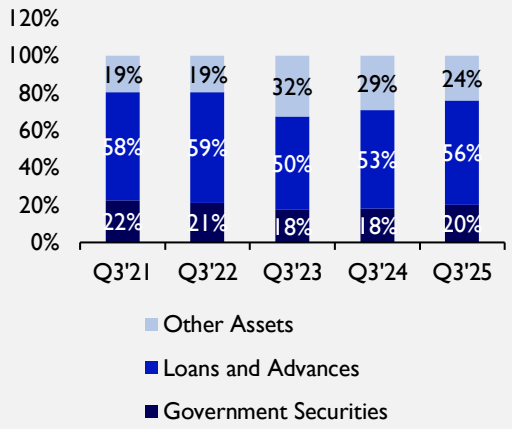
Outlook

KCB's outlook remains positive in the near and long term. Subsidiaries are resilient and continue to support growth, persistently contributing to the Group's net earnings (they contributed KES 16.0 Bn in Q3'25, with most subsidiaries reporting above 20.0% in Return on Equity, which is commendable). We expect this to continue in the near term. The only challenge in the subsidiary business is hyperinflation, especially in South Sudan and Burundi, which dragged overall performance. In Kenya, growth prospects remain solid. The gradual pick-up in private sector credit will support revenues from loan advances as businesses enter recovery mode. An accommodative monetary environment will help contain the cost of funds, which should ultimately boost margins in the near term. NPL levels present a downside risk, despite several methods employed to manage NPL stocks. We expect NPL levels to moderate going forward (after offloading NBK), supported by softening borrowing costs, various management strategies including write-offs, and the expected settlement of pending bills by the government.

Recommendation

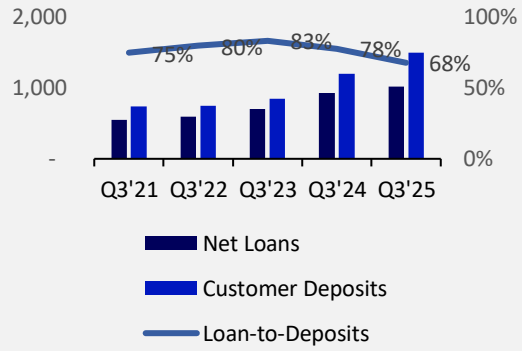
We maintain a BUY recommendation on KCB on the back of a resilient core business, a strong balance sheet position, and resilient subsidiary performance to support sustainable profitability. At the current market price, the stock is trading at P/E ratio of 3.1x and a P/B ratio of 0.61x. Our one-year target price for KCB currently stands at KES 72.87- representing a c 24.0% upside potential from current levels.

Chart 2: Asset Composition



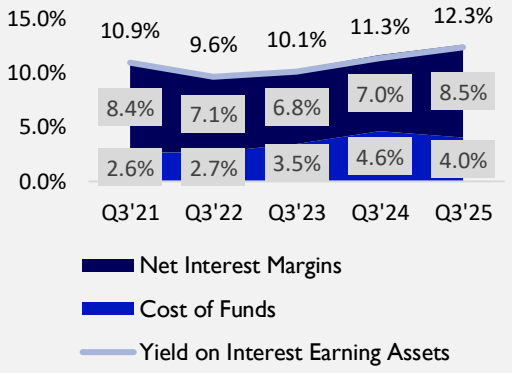
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Softening Cost of Funds



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Mn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	y/y % Change
Net Interest Income	56,436.7	61,593.0	74,873.5	92,798.2	104,339.1	▲ 12.4%
Net non-Interest Income	23,469.0	30,550.7	42,388.3	50,147.9	45,094.4	▼ (10.1%)
Total Operating income	79,905.7	92,143.7	117,261.9	142,946.1	149,433.4	▲ 4.5%
Provision for Impairment	(9,327.8)	(7,267.8)	(15,848.6)	(17,781.2)	(18,256.5)	▲ 2.7%
Total Operating expenses	(44,096.0)	(48,840.7)	(76,667.7)	(85,513.7)	(87,349.3)	▲ 2.1%
Profit before tax	35,809.6	43,303.0	40,594.1	57,432.4	62,084.1	▲ 8.1%
Profit after tax	25,206.9	30,593.9	30,721.3	45,760.6	47,323.6	▲ 3.4%
Core EPS Annualized	10.46	12.69	12.75	18.47	19.09	▲ 3.4%

Balance Sheet (KES Mn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	y/y % Change
Government Securities	252,445.8	269,887.4	371,273.5	361,111.4	411,884.6	▲ 14.1%
Loans and Advances	651,816.5	758,816.0	1,047,865.7	1,053,199.4	1,139,902.0	▲ 8.2%
Total Assets	**1,122,464.2**	**1,276,282.7**	**2,099,541.1**	**1,993,055.3**	**2,044,479.6**	▲ 2.6%
Customer Deposits	859,103.4	922,303.7	1,656,369.7	1,538,431.9	1,525,827.4	▼ (0.8%)
Total Liabilities	958,081.1	1,086,064.2	1,873,448.1	1,736,447.8	1,727,111.8	▼ (0.5%)
Shareholder's Funds	**162,990.8**	**187,771.6**	**218,818.7**	**248,952.6**	**308,508.8**	▲ 23.9%

Ratio Analysis	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	y/y % Change
Spreads Analysis						
Yield on Assets	10.9%	9.6%	10.1%	11.3%	12.3%	▲ 1.0%
Cost of Funds	2.6%	2.7%	3.5%	4.6%	4.0%	▼ (0.6%)
Net Interest Margin	8.4%	7.1%	6.8%	7.0%	8.5%	▲ 1.6%
ROaE	22.4%	22.6%	20.2%	22.4%	22.7%	▲ 0.3%
ROaA	3.2%	3.3%	2.4%	2.6%	3.1%	▲ 0.6%
Profit Margin	31.5%	33.2%	26.2%	32.0%	31.7%	▼ (0.3%)
Operating Effiency						
Cost to Income Less LLP	43.5%	45.1%	51.9%	47.4%	46.2%	▼ (1.1%)
Cost to Assets Less LLP	3.1%	3.3%	2.9%	3.4%	3.4%	▼ (0.0%)
Loan to Deposit Ratio	75.9%	82.3%	63.3%	68.5%	74.7%	▲ 6.25%
Asset Quality						
Gross NPL Ratio	13.8%	18.1%	16.3%	18.5%	17.7%	▼ (0.8%)
NPL Coverage	63.0%	52.8%	62.1%	63.8%	67.9%	▲ 4.1%
Cost of Risk	1.4%	1.0%	1.5%	3.4%	3.2%	▼ (0.2%)
Capital Adequency						
Core Capital/TRWA	18.2%	14.5%	14.5%	16.5%	17.0%	▲ 0.5%
Total Capital /TRWA	21.8%	18.1%	17.8%	19.3%	19.6%	▲ 0.3%
Liquidity	41.3%	38.5%	50.3%	47.2%	46.7%	▼ (0.5%)



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